

Canada Bread Company, Limited

Interim Report to Shareholders

for the **Third Quarter** ended September 30, 2010

Report to Shareholders

Management's Discussion and Analysis

For the third quarter ended September 30, 2010

Financial Overview

Adjusted Operating Earnings declined 12.1% to $32.4 million for the quarter from $36.9 million last year and Adjusted Earnings per Share decreased to $0.85 from $1.00 last year. Net earnings of $14.0 million or $0.55 per share were lower than last year's net earnings of $25.1 million or $0.99 per share.

Note: *Adjusted Operating Earnings are defined as earnings from operations before restructuring and other related costs and other income (expense). Adjusted Earnings per Share ("Adjusted EPS") are defined as basic earnings per share adjusted for the impact of restructuring and other related costs, net of tax. Refer to the section entitled Non-GAAP Financial Measures on page 6 of this Management's Discussion and Analysis.*

Third quarter sales in the Bakery Products Group declined 3.1% from $424.6 million last year to $411.4 million this year due to lower sales volumes and currency translation impacts of a stronger Canadian dollar on bakery sales in the U.S. and U.K. After adjusting for currency translation impacts, sales declined 1.2% mostly reflecting the decline in sales volume. Similar factors contributed to reduce year-to-date sales by 6.1% to $1,195.4 million from $1,273.6 million during the first nine months of last year. Excluding the impact of currency, sales in the first three quarters of 2010 declined 3.4%.

Adjusted Operating Earnings in the third quarter were $32.4 million, a decrease from a strong comparative quarter of $36.9 million last year. Lower earnings resulted from decreased sales volume and increased investment in marketing and promotional activities in the Fresh Bakery business to support new product launches. Year-to-date Adjusted Operating Earnings decreased to $83.1 million from $91.4 million last year reflecting lower sales volumes mostly in North America and U.K. frozen bakery businesses partly offset by margin improvement in the fresh bakery businesses in part due to the benefit of a stronger Canadian dollar.

Net earnings in the third quarter declined to $14.0 million or $0.55 per share compared to $25.1 million or $0.99 per share last year as a result of lower Adjusted Operating Earnings and higher restructuring costs. Restructuring charges recorded in the third quarter mostly related to severance obligations related to the future closure of three bakeries in Ontario, pending the completion of a new large-scale bakery that will be commissioned in mid-2011. Year-to-date net earnings were $47.4 million or $1.86 per share compared to $62.5 million or $2.46 per share last year.

Business Segment Review

Following is a summary of sales by business segment:

	Third Quarter		Year-to-Date	
($ thousands)	**2010**	2009	**2010**	2009
Fresh Bakery	**$ 285,232**	$ 287,285	**$ 824,951**	$ 840,546
Frozen Bakery	**126,132**	137,270	**370,407**	433,052
Sales	**$ 411,364**	$ 424,555	**$1,195,358**	$ 1,273,598

Following is a summary of Adjusted Operating Earnings by business segment:

	Third Quarter		Year-to-Date	
($ thousands)	**2010**	2009	**2010**	2009
Fresh Bakery	**$ 30,397**	$ 33,260	**$ 78,603**	$ 71,457
Frozen Bakery	**2,032**	3,655	**4,537**	19,949
Adjusted Operating Earnings	**$ 32,429**	$ 36,915	**$ 83,140**	$ 91,406

Fresh Bakery

Includes fresh bakery products, including breads, rolls, bagels, sweet goods, prepared sandwiches, and fresh pasta and sauces sold to retail, foodservice and convenience channels. It includes national brands such as Dempster's® and Olivieri® and many leading regional brands.

Third quarter sales of $285.2 million declined by 0.7% compared to $287.3 million in the same period last year. Lower sales volumes of fresh sandwiches and fresh bakery products were partly offset by increased sales of fresh pasta and sauces and combined to reduce sales by approximately 1.5%. Improved net pricing and mix increased sales by approximately 0.8%. Year-to-date sales declined to $825.0 million from $840.5 million last year reflecting similar factors.

Adjusted Operating Earnings in the quarter decreased to $30.4 million from $33.3 million in the same period last year largely due to increased promotional investments to support new product launches and lower sales volumes partly offset by margin rate improvements.

Increased investment in marketing and promotional activities in the fresh bakery business related to support for new product launches such as Dempster's Smart®16, a line extension of Dempster's Smart®, which includes 16 whole grains and reduced sodium; the Dempster's® rye bread line in Ontario in the fourth quarter of 2010; and extensions in Dempster's Oven Fresh®.

Margin rates improved due to the stronger Canadian dollar which reduced the cost of U.S.-dollar-priced flour and increased pricing as the Company completed the implementation of price increases during the quarter. Partly offsetting these impacts were inflationary manufacturing costs and higher trade investment.

Construction of a new large-scale fresh bakery facility in Hamilton, Ontario is proceeding on plan. Commissioning of this 375,000 square foot facility, which will be the Company's largest and most efficient bakery, is scheduled to commence in mid-2011, allowing for the consolidation of production from three Ontario bakeries. Through this investment, the Company expects to reduce costs and increase margins.

Year-to-date Adjusted Operating Earnings improved to $78.6 million compared to $71.5 million last year.

Frozen Bakery

Includes frozen bakery products, including frozen par-baked bakery products, specialty and artisan breads, and bagels sold to retail, foodservice and convenience channels in North America and the U.K. It includes national brands such as Tenderflake® and New York Bakery Co®.

Sales in the quarter declined 8.1% to $126.1 million from $137.3 million last year. Adjusting for currency translation impacts, sales declined 2.3%. Lower volumes, predominantly in the U.K., which reduced sales by 5.6%, were partly offset by better sales mix which improved sales by 3.6%. In the U.K., sales volumes continued to be impacted by depressed specialty categories following a trend that began with the recessionary impacts of 2008, as well as lower in-store bakery sales volumes. In North America, sales volumes were largely consistent

with the prior year. Management is focused on increasing volumes in these businesses. Currency movements and lower volumes contributed to the reduction in year-to-date sales to $370.4 million from $433.1 million last year.

Adjusted Operating Earnings in the quarter declined to $2.0 million compared to $3.7 million last year, mostly due to lower results in the North American frozen operations. While sales volumes were consistent with last year, earnings in the North American frozen business declined mostly due to increased factory overhead costs. Earnings in the U.K. bakery business were largely consistent with the prior year. Management is focused on driving cost improvements in baked goods production in the U.K. Cost improvements underway include the transfer of a production line to an existing low-cost scale facility in Maidstone, England in the second quarter that consolidates the majority of croissant production into one site and reduces total network costs.

Year-to-date Adjusted Operating Earnings were $4.5 million compared to $19.9 million last year.

Gross Margin

Gross margin was $86.9 million, compared to $89.1 million last year. As described above, declines in volume across the bakery businesses were the primary cause of lower gross margin. Margin rates were largely consistent with the prior year. Year-to-date gross margin was $247.0 million compared to $250.3 million last year.

Selling, General and Administrative Expenses

Selling, general and administrative expenses increased to $54.5 million from $52.2 million last year primarily due to increased investment in marketing and promotional activities in the fresh bakery business as described above. As a percentage of sales, selling, general and administrative expenses represented 13.2% of sales compared to 12.3% in the prior year. Year-to-date selling, general and administrative expenses were $163.9 million compared to $158.9, million reflecting similar factors. As a percentage of sales, selling, general and administrative expenses increased to 13.7% from 12.5% in the prior year.

Restructuring and Other Related Costs

During the nine months ended September 30, 2010, the Company recorded restructuring and other related costs of $13.0 million ($9.6 million after tax). Of this amount, $10.5 million ($7.7 million after tax) was recorded in the third quarter. Third quarter charges of $10.2 million were recorded in the fresh bakery segment, primarily related to severance obligations and the current portion of accelerated amortization related to the future closure of three Ontario bakeries in anticipation of the Company's new large-scale fresh bakery facility in Hamilton, Ontario. Additional charges are expected as this project continues and will be recorded as restructuring expenses. The Company expects to incur restructuring costs totalling approximately $25 million, which includes $5 million in non-cash items. These costs include asset decommissioning and severances.

During the first nine months of 2009, the Company recorded restructuring and other related costs of $1.3 million ($1.0 million after tax). These costs were largely incurred in the frozen bakery segment and related primarily to the closure and decommissioning of a bagel facility in Toronto, Ontario, a small bakery operation in the United Kingdom and the accelerated depreciation of certain assets that were made redundant with the implementation of the new SAP information system in the Company's frozen bakery operations.

Other Income (Expense)

Other income was $0.1 million for the quarter compared to other expense of $0.1 million last year. Other income was $0.2 million in the first nine months of 2010 compared to $2.4 million last year. Other income received last year was primarily comprised of insurance proceeds received to cover business interruption losses resulting from the oven fire at a U.K. bakery in 2008.

Interest Expense

Interest expense for the third quarter increased slightly to $0.9 million compared to $0.7 million last year. Year-to-date interest expense was $2.8 million compared to $4.0 million last year. The decrease in interest expense is due to lower average debt balances during the year.

Taxes

The Company's income tax expense is comprised of tax on earnings from operations before restructuring charges and other related costs at a rate of 29.2% (2009: 29.4%) and taxes recovered on restructuring and other related costs at a rate of 26.4% (2009: 23.5%). The lower tax rate related to ongoing earnings is due primarily to lower federal and provincial statutory tax rates.

Cash Flow and Financing

Cash balances, net of debt, were $95.8 million at the end of the third quarter, compared to $78.4 million as at June 30, 2010 and $20.2 million at the end of the third quarter of 2009. The improvement during the quarter was principally due to higher cash flow from operations, partially offset by investment in property and equipment.

Cash Flow From Operating Activities

Cash inflows from operating activities increased to $44.5 million for the third quarter compared to $31.2 million in the prior-year period, as a result of reduced investment in working capital compared to the same period last year.

Cash Flow From Financing Activities

Cash flow from financing activities was an outflow of $0.8 million for the third quarter compared to an outflow of $16.6 million in the prior year. The year-over-year change is due to the settlement of long-term debt during the third quarter of 2009.

As at September 30, 2010, the Company and its subsidiaries had available undrawn credit of $268.6 million under the terms of its credit arrangements and available cash of $107.0 million. The Company's principal credit facility is subject to certain financial covenants. As at September 30, 2010, the Company was in compliance with all of its financial covenants.

The Company is exposed to fluctuations in the prices of raw materials, seasonal and other market-related price changes, particularly wheat costs. Due to the sales volumes and rapid turnover of inventories, the impact of these price fluctuations is generally short-term. When commodity price increases are significant, it can increase the funding required for investments in working capital. These working capital requirements will be funded from operating cash flow and existing credit facilities. Management is of the opinion that operating cash flow and existing credit facilities provide the Company with sufficient resources to finance ongoing business requirements and its planned capital investment.

Cash Flow From Investing Activities

Cash flow from investing activities was an outflow of $25.6 million for the third quarter compared to an outflow of $6.0 million in the prior-year period, as a result of increased capital expenditures.

Capital expenditures on plant and equipment for the third quarter increased to $25.8 million compared to $6.1 million last year. In the third quarter of 2010, capital investment included spend related to the construction of the new large-scale fresh bakery in southwestern Ontario as the Company resumes its strategic investment to improve margins and reduce costs in the next few years. The new bakery will replace three existing older and smaller facilities located in that region and the new bakery is expected to be commissioned in mid-2011. A three-year transition is anticipated to the new facility. Year-to-date capital

expenditures were $47.9 million in 2010 compared to $30.4 million last year as capital spent during the first quarter of 2010 was lower than last year due to timing of projects.

Credit Risk

In the normal course of business, the Company is exposed to credit risk from its customers, substantially all of which are in the grocery and foodservice markets. The Company performs ongoing credit evaluations of new and existing customers' financial condition and reviews the collectibility of its trade and other accounts receivable in order to mitigate any possible credit losses. The Company maintains an allowance for uncollectible accounts that represents its estimate of uncollectible amounts. This allowance is based on specific losses estimated on individually significant exposures. As at September 30, 2010, the Company has recorded $1.9 million in allowances for uncollectible accounts (2009: $2.5 million). The Company believes that the allowance for uncollectible accounts sufficiently covers any credit risk related to past due or impaired accounts receivable balances.

Summary of Quarterly Results

The following is a summary of unaudited quarterly financial information (in thousands of dollars, except per share information). All amounts except Adjusted Earnings per Share are derived from the Company's unaudited consolidated financial statements for each of the completed quarters and are prepared in accordance with Canadian GAAP.

		First Quarter	Second Quarter	Third Quarter	Fourth Quarter
Sales	**2010**	**$ 381,932**	**$ 402,062**	**$ 411,364**	
	2009	413,125	435,918	424,555	$ 432,190
	2008	382,869	437,418	443,086	444,957
Net earnings	**2010**	**$ 12,727**	**$ 20,686**	**$ 13,980**	
	2009	14,882	22,537	25,050	$ 15,009
	2008	12,211	6,538	19,727	26,460
Earnings per share					
Basic and diluted	**2010**	**$ 0.50**	**$ 0.81**	**$ 0.55**	
	2009	0.59	0.89	0.99	$ 0.59
	2008	0.48	0.26	0.77	1.04
Adjusted EPS (i)	**2010**	**$ 0.55**	**$ 0.84**	**$ 0.85**	
	2009	0.60	0.89	1.00	$ 0.70
	2008	0.52	0.30	0.93	1.13

(i) *Basic earnings per share adjusted for the impact of restructuring and other related costs, net of tax.*

Quarterly sales and net earnings in 2010 were impacted by the following significant items:

- the appreciation of the Canadian dollar relative to the U.S. dollar and the British pound which reduced the sales value of frozen bakery product sales in the U.S. and U.K.
- lower sales volumes mostly of frozen bakery products in the U.S. and U.K.
- the appreciation of the Canadian dollar relative to the U.S. dollar which reduces the cost of U.S.-dollar-priced ingredients and to a lesser extent, lower ingredient costs

Quarterly sales and net earnings in 2009 were impacted by the following significant items:

- price increases implemented in 2008 in response to escalating input costs
- increased sales volumes and favourable mix in the fresh bakery and fresh pasta and sauces businesses
- lower volumes in the fresh sandwich business

- the depreciation of the Canadian dollar relative to the U.S. dollar and the British pound in the first three quarters of 2009 which increases the sales value of frozen bakery products sales in the U.S. and U.K.
- lower sales volumes and a change in mix from specialty and premium products to staple products in the U.K. bakeries in part due to the economic recession
- normalization of bakery margins in 2009, except in the U.K. bakery business which was impacted by the effects of the global economic recession, due mostly to the combination of prior-year price increases and the decline in commodity costs
- the impact of lower sales volumes and change in mix in the U.K. bakery operations

For an explanation and analysis of quarterly results, refer to Management's Discussion and Analysis for each of the respective quarterly periods filed on SEDAR and also available on the Company's website at www.canadabread.ca.

Non-GAAP Financial Measures

The Company uses the following non-GAAP measures: Adjusted Operating Earnings, Adjusted EPS and Net Debt. Management believes that these non-GAAP measures provide useful information to both Management and investors in assessing the financial performance of the Company for the reasons outlined below. These measures do not have a standardized meaning prescribed by Canadian GAAP and therefore they may not be comparable to similarly titled measures presented by other publicly traded companies and should not be construed as an alternative to other financial measures determined in accordance with Canadian GAAP.

Adjusted Operating Earnings

The following table reconciles earnings from operations before restructuring and other related costs and other income (expense) to net earnings as reported under Canadian GAAP in the unaudited interim period consolidated statements of earnings for the three- and nine-month periods ended as indicated below. Management believes that this is the most appropriate basis on which to evaluate operating results as restructuring and other related costs and other income (expense) are not representative of operational results.

	Three months ended September 30,					
($ thousands)	2010			2009		
	Fresh Bakery	Frozen Bakery	Consolidated	Fresh Bakery	Frozen Bakery	Consolidated
Net earnings			**$ 13,980**			**$ 25,050**
Income taxes			**7,055**			**10,482**
Earnings from operations before income taxes			**21,035**			**35,532**
Interest expense			**949**			**673**
Earnings from operations before income taxes and interest expense	$ 20,235	$ 1,749	**$ 21,984**	$ 33,147	$ 3,058	**$ 36,205**
Restructuring and other related costs	10,229	283	**10,512**	—	597	**597**
Other income	(67)	—	**(67)**	113	—	**113**
Adjusted Operating Earnings	**$ 30,397**	**$ 2,032**	**$ 32,429**	**$ 33,260**	**$ 3,655**	**$ 36,915**

($ thousands)	Nine months ended September 30, 2010			2009		
	Fresh Bakery	Frozen Bakery	Consolidated	Fresh Bakery	Frozen Bakery	Consolidated
Net earnings			$ 47,394			$ 62,469
Income taxes			20,082			26,115
Earnings from operations before income taxes			67,476			88,584
Interest expense			2,837			3,980
Earnings from operations before income taxes and interest expense	$ 67,340	$ 2,973	$ 70,313	$ 71,419	$ 21,145	$ 92,564
Restructuring and other related costs	11,457	1,564	13,021	(81)	1,352	1,271
Other income	(194)	—	(194)	119	(2,548)	(2,429)
Adjusted Operating Earnings	$ 78,603	$ 4,537	$ 83,140	$ 71,457	$ 19,949	$ 91,406

Adjusted Earnings per Share

The following table reconciles adjusted earnings per share to basic earnings per share as reported under Canadian GAAP in the unaudited interim period consolidated statements of earnings for the three- and nine-month periods ended as indicated below. Management believes this is the most appropriate basis on which to evaluate financial results as restructuring and other related costs are not representative of operational results.

($ per share)	Three months ended September 30, 2010	2009	Nine months ended September 30, 2010	2009
Basic earnings per share	$ 0.55	$ 0.99	$ 1.86	$ 2.46
Restructuring and other related costs (i)	0.30	0.02	0.38	0.04
Adjusted Earnings per Share (ii)	**$ 0.85**	**$ 1.00**	**$ 2.24**	**$ 2.50**

(i) *Includes per share impact of restructuring and other related costs, net of tax.*

(ii) *Does not add due to rounding.*

Net Debt

The following table reconciles net debt as disclosed in this MD&A to Canadian GAAP amounts in the unaudited interim period consolidated balance sheets at the dates indicated below. The Company calculates net debt as long-term debt and bank indebtedness, less cash and cash equivalents.

	As at September 30,		As at June 30,
($ thousands)	**2010**	2009	**2010**
Bank indebtedness	**$ 8,070**	$ 4,357	**$ 8,071**
Current portion of long-term debt	**—**	—	**—**
Long-term debt	**3,117**	—	**2,420**
	11,187	4,357	**10,491**
Cash and cash equivalents	**(106,961)**	(24,549)	**(88,875)**
Net Debt (Cash)	**$ (95,774)**	$ (20,192)	**$ (78,384)**

Disclosure Controls and Internal Control Over Financial Reporting

There have been no changes in the Company's internal control over financial reporting during the period beginning on July 1, 2010 and ended on September 30, 2010 that have materially affected, or are reasonably likely to materially affect, its internal control over financial reporting.

International Financial Reporting Standards

For fiscal years beginning on or after January 1, 2011, Canadian public companies will be required to prepare their financial statements in accordance with International Financial Reporting Standards ("IFRS"). While IFRS uses a conceptual framework similar to Canadian GAAP, there are significant differences in accounting policies that must be evaluated. IFRS will also require more disclosures than Canadian GAAP. The Company will issue its financial statements in the first quarter of 2011 in accordance with IFRS including comparative data for 2010.

In order to meet the requirement of transition to IFRS, in 2008, the Company established an enterprise-wide project team and project plan. The IFRS project philosophy is to align with current accounting practices and policies, where possible, to minimize the impact of any changes to the business or reporting to shareholders. Regular reporting of the progress on the IFRS conversion project is provided to senior management and the Audit Committee of the Board of Directors.

The Company's IFRS conversion project plan is comprised of three main phases: initial diagnostic assessment, design, and implementation. The Company has completed the initial assessment and design phases of the plan and has identified and documented the key accounting and disclosure differences between Canadian GAAP and IFRS. The implementation phase of the project is ongoing and will continue until the Company issues its first IFRS financial statements for the quarter ended March 31, 2011. Substantial progress has been made in the implementation phase of the project as described below and in the Company's MD&A for prior periods. The IFRS conversion project is on schedule and Management expects that the project will be completed in time to enable the Company to issue IFRS-compliant financial statements for the first quarter of 2011 as required.

The Company has completed the determination of the majority of the accounting adjustments necessary on the transition to IFRS. During the third quarter, the Company completed its determination of cash-generating units that is necessary for the analysis of

potential asset impairment. The Company is in the process of completing its analysis on several key issues including, but not limited to, potential asset impairment under IFRS at the cash-generating unit level, the finalization of the adjustment for provisions and the finalization of the Company's accounting policy for pensions and post-retirement benefits including the impact of IFRIC 14 "The Limit on a Defined Benefit Asset, Minimum Funding Requirements and their Interaction". These remaining areas will be completed in the fourth quarter of 2010 and may result in material differences from Canadian GAAP.

A summary of key accounting differences and IFRS 1 elections was provided in the Company's annual MD&A for the year ended December 31, 2009 as well as policy alternatives under IFRS, including certain exemptions and elections available on transition under IFRS 1. In the MD&A for the second quarter of 2010, the Company quantified the accounting implications of the key accounting differences and IFRS 1 elections completed as of that date. Reference should be made to those disclosures.

During the third quarter of 2010, the Company completed draft IFRS-compliant financial statements and notes for the quarter ended March 31, 2010. The Company also completed changes to its information systems and accounting procedures to facilitate the transition to IFRS and identified any related impacts to internal controls over financial reporting and disclosure controls and procedures. The information system changes were not significant and primarily relate to the gathering of data necessary for disclosure under IFRS and the controls necessary to ensure the integrity and accuracy of that data.

The Company has determined that some of its commodity hedging activities will not qualify for hedge accounting under IFRS. On transition, this will result in a debit to retained earnings and a credit to accumulated other comprehensive loss of $0.7 million.

As disclosed in the MD&A for the second quarter, the Company's current accounts receivable securitization program does not qualify for de-recognition under IFRS. On October 27, 2010, the Company finalized a new accounts receivable securitization agreement that does qualify for de-recognition under IFRS and is effective as of that date. Accounts receivable that were sold under the previous securitization agreement will be recorded on the balance sheet for the restated 2010 comparative periods in the 2011 financial statements.

Other Matters

On October 27, 2010, Canada Bread Company, Limited declared a dividend of $0.06 per share payable on January 4, 2011 to shareholders of record at the close of business on December 6, 2010. Unless indicated otherwise by the Company in writing at or before the time the dividend is paid, this dividend will be considered an eligible dividend for the purposes of the "Enhanced Dividend Tax Credit System".

Forward-Looking Statements

This document contains, and the Company's oral and written public communications often contain, forward-looking statements that are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates and beliefs and assumptions made by the Management of the Company. Such statements include, but are not limited to, statements with respect to objectives and goals, as well as statements with respect to beliefs, plans, objectives, expectations, anticipations, estimates and intentions. Specific forward-looking statements in this document include, but are not limited to, statements concerning expectations regarding actions to reduce costs and improve

efficiencies, restore volumes and/or increase prices, timing of promotional investment, improving business trends in 2010, the expected use of cash balances, source of funds for ongoing business requirements, capital investments and debt repayment, expectations regarding sufficiency of the allowance for uncollectible accounts and the impact of recently adopted accounting pronouncements and the potential impact of the adoption of IFRS. Words such as "expect", "anticipate", "intend", "attempt", "may", "will", "plan", "believe", "seek", "estimate", and variations of such words and similar expressions are intended to identify such forward-looking statements. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict.

In particular, these forward-looking statements are based on a variety of factors and assumptions that are discussed throughout this document. In addition, expectations concerning the performance of the Company's business in general are based on a number of factors and assumptions including, but not limited to: the condition of the Canadian, United States and United Kingdom economies; the rate of exchange of the Canadian dollar to the U.S. dollar and British pound; the availability and prices of raw materials, energy and supplies; product pricing; the availability of insurance; the competitive environment and related market conditions; improvement of operating efficiencies; continued access to capital; the cost of compliance with environmental and health standards; no adverse results from ongoing litigation; no unexpected actions of domestic and foreign governments and the general assumption that none of the risks identified below or elsewhere will materialize. All of these assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party sources. These assumptions may prove to be incorrect in whole or in part. In addition, actual results may differ materially from those expressed, implied or forecasted in such forward-looking statements, which reflect the Company's expectations only as of the date hereof.

Factors that could cause actual results or outcomes to differ materially from the results expressed, implied or forecasted in such forward-looking statements include, among other things:

- the risks associated with changes in the Company's shared systems and processes;
- the Company's exposure to currency exchange risks;
- the ability of the Company to hedge against the effect of commodity price changes through the use of commodity futures and options;
- the risks associated with a consolidating retail environment;
- the risks posed by food contamination, consumer liability and product recalls;
- the risks related to business acquisitions and capital expansion projects;
- the risks posed by compliance with extensive government regulation;
- the risks posed by the adoption of the International Financial Reporting Standards;
- the risks posed by litigation;
- the impact of changes in consumer tastes and buying patterns;
- the impact of extensive environmental regulation and potential environmental liabilities;
- the risks associated with complying with differing employment laws and practices globally and the potential for work stoppages due to non-renewal of collective agreements;

- the impact on pension expense and funding requirements of fluctuations in the market prices of fixed income and equity securities and changes in interest rates;
- the risks associated with the Company's independent distributors; and
- the risks posed by competition.

The Company cautions the reader that the foregoing list of factors is not exhaustive. These factors are discussed in more detail under the heading "Risk Factors" in the Company's Management's Discussion and Analysis for the year ended December 31, 2009 and are updated each quarter in the Management's Discussion and Analysis, which are available on SEDAR at www.sedar.com. The reader should review such sections in detail. The Company does not intend to, and the Company disclaims any obligation to, update any forward-looking statements, whether written or oral, or whether as a result of new information, future events or otherwise except as required by law.

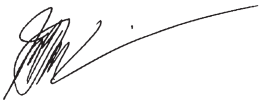
Additional information concerning the Company, including the Company's Annual Information Form, is available on SEDAR at www.sedar.com.

Canada Bread Company, Limited, 90.0% owned by Maple Leaf Foods Inc., is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company employs approximately 8,000 people at its operations across North America and in the U.K.

For the Board of Directors,



Richard A. Lan
President and Chief Executive Officer



Michael H. McCain
Chairman
October 27, 2010

Consolidated Balance Sheets

(In thousands of Canadian dollars)	As at September 30, 2010	As at September 30, 2009	As at December 31, 2009
	(Unaudited)	*(Unaudited)*	
ASSETS			
Current assets			
Cash and cash equivalents	**$ 106,961**	$ 24,549	$ 57,698
Accounts receivable (Note 3)	**63,840**	70,879	63,620
Due from Maple Leaf Foods Inc.	**1,361**	—	—
Inventories	**56,046**	58,266	56,659
Future tax asset	**4,259**	4,878	1,640
Prepaid expenses and other assets	**7,539**	7,065	4,438
	$ 240,006	$ 165,637	$ 184,055
Property and equipment	**391,486**	392,695	387,252
Goodwill	**380,845**	392,456	386,807
Other intangible assets	**15,125**	18,775	16,678
Other long-term assets	**11,522**	10,616	11,620
	$1,038,984	$ 980,179	$ 986,412
LIABILITIES AND SHAREHOLDERS' EQUITY			
Current liabilities			
Bank indebtedness	**$ 8,070**	$ 4,357	$ 4,247
Accounts payable and accrued charges	**196,490**	169,361	172,172
Due to Maple Leaf Foods Inc.	**—**	4,971	3,817
Dividends payable	**1,525**	1,525	1,525
Income and other taxes payable	**13,049**	13,610	13,155
	$ 219,134	$ 193,824	$ 194,916
Long-term debt	**3,117**	—	2,547
Future tax liability	**29,856**	34,079	33,338
Other long-term liabilities	**8,271**	8,639	8,524
Shareholders' equity (Note 5)	**778,606**	743,637	747,087
	$1,038,984	$ 980,179	$ 986,412

See accompanying Notes to the Consolidated Financial Statements.

Consolidated Statements of Earnings

(In thousands of Canadian dollars, except share amounts) *(Unaudited)*	Three months ended September 30, **2010**	2009	Nine months ended September 30, **2010**	2009
Sales	**$ 411,364**	$ 424,555	**$1,195,358**	$ 1,273,598
Cost of goods sold	**324,476**	335,413	**948,327**	1,023,257
Gross margin	**$ 86,888**	$ 89,142	**$ 247,031**	$ 250,341
Selling, general and administrative expenses	**54,459**	52,227	**163,891**	158,935
Earnings from operations before the following:	**$ 32,429**	$ 36,915	**$ 83,140**	$ 91,406
Restructuring and other related costs (Note 7)	**(10,512)**	(597)	**(13,021)**	(1,271)
Other income (expense)	**67**	(113)	**194**	2,429
Earnings before interest and income taxes	**$ 21,984**	$ 36,205	**$ 70,313**	$ 92,564
Interest expense	**949**	673	**2,837**	3,980
Earnings before income taxes	**$ 21,035**	$ 35,532	**$ 67,476**	$ 88,584
Income taxes	**7,055**	10,482	**20,082**	26,115
Net earnings	**$ 13,980**	$ 25,050	**$ 47,394**	$ 62,469
Earnings per share – basic and diluted	**$ 0.55**	$ 0.99	**$ 1.86**	$ 2.46
Weighted average number of shares (millions)	**25.4**	25.4	**25.4**	25.4

See accompanying Notes to the Consolidated Financial Statements.

Consolidated Statements of Comprehensive Income

(In thousands of Canadian dollars) *(Unaudited)*	Three months ended September 30, **2010**	2009	Nine months ended September 30, **2010**	2009
Net earnings	**$ 13,980**	$ 25,050	**$ 47,394**	$ 62,469
Other comprehensive loss (Note 6)	**(6,798)**	(23,530)	**(11,300)**	(22,610)
Comprehensive income	**$ 7,182**	$ 1,520	**$ 36,094**	$ 39,859

Consolidated Statements of Retained Earnings

(In thousands of Canadian dollars, except per share amounts) *(Unaudited)*	Nine months ended September 30, **2010**	2009
Retained earnings, beginning of period	**$ 658,541**	$ 587,163
Net earnings	**47,394**	62,469
Dividends declared ($0.12 per share; 2009: $0.12 per share)	**(4,575)**	(4,575)
Retained earnings, end of period	**$ 701,360**	$ 645,057

See accompanying Notes to the Consolidated Financial Statements.

Consolidated Statements of Cash Flows

(In thousands of Canadian dollars) *(Unaudited)*	Three months ended September 30, **2010**	2009	Nine months ended September 30, **2010**	2009
CASH PROVIDED BY (USED IN):				
Operating activities				
Net earnings	**$ 13,980**	$ 25,050	**$ 47,394**	$ 62,469
Add (deduct) items not affecting cash:				
Depreciation and amortization	**13,089**	13,551	**38,160**	41,706
Future income taxes	**(4,490)**	(1,303)	**(6,423)**	(2,099)
Loss (gain) on sale of property and equipment	**(62)**	131	**(109)**	461
Amortization of terminated interest rate swap	**659**	672	**1,976**	1,317
Change in provision for restructuring and other related costs	**9,746**	367	**10,093**	(607)
Other	**(244)**	(562)	**(170)**	(2,593)
Change in non-cash operating working capital	**11,869**	(6,722)	**5,668**	(34,810)
Cash provided by operating activities	**$ 44,547**	$ 31,184	**$ 96,589**	$ 65,844
Financing activities				
Dividends paid	**$ (1,525)**	**$** (1,525)	**$ (4,575)**	**$** (4,575)
Net increase (decrease) in long-term debt	**697**	(15,038)	**570**	(4,518)
Settlement of interest rate swaps with Maple Leaf Foods Inc.	**—**	**—**	**—**	(8,502)
Cash used in financing activities	**$ (828)**	$ (16,563)	**$ (4,005)**	$ (17,595)
Investing activities				
Additions to property and equipment	**$(25,778)**	$ (6,081)	**$(47,888)**	$ (30,447)
Proceeds from sale of property and equipment	**55**	46	**740**	515
Other	**91**	(7)	**4**	(952)
Cash used in investing activities	**$(25,632)**	$ (6,042)	**$(47,144)**	$ (30,884)
Increase in cash and cash equivalents	**$ 18,087**	$ 8,579	**$ 45,440**	$ 17,365
Net cash and cash equivalents, beginning of period	**80,804**	11,613	**53,451**	2,827
Net cash and cash equivalents, end of period	**$ 98,891**	$ 20,192	**$ 98,891**	$ 20,192
Net cash and cash equivalents is comprised of:				
Cash and cash equivalents	**$106,961**	$ 24,549	**$106,961**	$ 24,549
Bank indebtedness	**(8,070)**	(4,357)	**(8,070)**	(4,357)
Net cash and cash equivalents, end of period	**$ 98,891**	$ 20,192	**$ 98,891**	$ 20,192

See accompanying Notes to the Consolidated Financial Statements.

1. THE COMPANY

Canada Bread Company, Limited ("Canada Bread" or the "Company") and its subsidiaries operate in the bakery industry across North America and internationally. Its principal business is the manufacture and sale of bakery and pasta products, including fresh bread, rolls, bagels and par-baked bread. Canada Bread is 90.0% owned by Maple Leaf Foods Inc. ("Maple Leaf") as at September 30, 2010.

2. SIGNIFICANT ACCOUNTING POLICIES

The unaudited interim consolidated financial statements should be read in conjunction with the annual consolidated financial statements for the year ended December 31, 2009. These unaudited interim consolidated financial statements have been prepared in accordance with Canadian generally accepted accounting principles using the same accounting policies as were applied in the consolidated financial statements for the year ended December 31, 2009. Certain comparative figures have been reclassified to conform to the financial statement presentation adopted in 2010.

3. ACCOUNTS RECEIVABLE

Under a revolving securitization program, the Company has sold certain of its trade accounts receivable to financial institutions. The Company retains servicing responsibilities and retains a limited recourse obligation for delinquent receivables. At September 30, 2010, trade accounts receivable being serviced under this program amounted to $70.0 million (2009: $70.0 million).

4. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT ACTIVITIES

The Company is exposed to credit risk, liquidity risk and market risks that include interest rate risk, foreign exchange risk and commodity price risk. The Company has policies for managing these risks that are aligned with its overall objective to maintain a simple and cost-effective capital structure that supports a long-term growth strategy and maximizes operating flexibility. There have been no material changes to the Company's risk and risk management activities since December 31, 2009.

The Company uses derivatives and other non-derivative financial instruments to manage its exposures to fluctuations in interest rates, foreign exchange rates and commodity prices and in certain cases applies hedge accounting.

The fair values and notional amounts of derivative financial instruments at September 30 are shown below:

	2010			2009		
	Notional Amount [i]	Fair Value		Notional Amount	Fair Value	
		Asset	Liability		Asset	Liability
Derivatives not designated in a formal hedging relationship						
Foreign exchange forward contracts [ii]	**$27,040**	**$ 191**	**$ —**	$ 1,076	$ 46	$ —
Total		**$ 191**	**$ —**		$ 46	$ —
Current		**$ —**	**$ —**		$ 46	$ —
Non-current		**191**	—		—	—
Total		**$ 191**	**$ —**		$ 46	$ —

(i) *Notional amounts are stated at the contractual Canadian dollar equivalent.*
(ii) *Related party foreign exchange contracts with Maple Leaf Foods Inc.*

On May 28, 2009, the Company paid Maple Leaf $8.5 million to settle its obligations under two interest rate swaps. Included in accumulated other comprehensive loss is $6.0 million of unrealized derivative losses as at September 30, 2010.

The carrying value of long-term debt as at September 30, 2010 is $3.1 million which approximates fair value.

During the quarter, the Company recorded a gain of $0.5 million net of taxes on financial instruments held for trading.

For the quarters ended September 30, 2010 and 2009, the amount of hedge ineffectiveness recognized in earnings was nominal.

Fair Value Hierarchy
Assets and liabilities carried at fair value must be classified using a three-level hierarchy that reflects the significance of the inputs used in making the fair value measurements.

The table below sets out fair value measurements of financial instruments using the fair value hierarchy.

	Level 1	Level 2	Level 3	Total
Assets:				
Foreign exchange forward contracts	$ —	$ 191	$ —	**$ 191**

There were no transfers between levels during the quarter ended September 30, 2010.

5. Shareholders' Equity

Shareholders' equity consists of the following:

	As at September 30,	
	2010	2009
Share capital (2010 and 2009: 25,416,812 common shares)	**$ 142,965**	$ 142,965
Retained earnings	**701,360**	645,057
Accumulated other comprehensive loss (Note 6)	**(65,719)**	(44,385)
	$ 778,606	$ 743,637

6. Accumulated Other Comprehensive Loss

Accumulated other comprehensive loss consists of the following:

	Nine months ended September 30,	
	2010	2009
Balance at the beginning of the period	**$ (54,419)**	$ (21,788)
Adoption of new accounting standard [(i)]	**—**	13
Adjusted balance at the beginning of the period	**$ (54,419)**	$ (21,775)
Change in accumulated foreign currency translation adjustment – net [(ii)]	**(12,956)**	(23,714)
Change in unrealized loss on cash flow hedges – net [(iii)]	**1,656**	1,104
Other comprehensive loss for the period	**$ (11,300)**	$ (22,610)
Balance at end of the period	**$ (65,719)**	$ (44,385)

(i) *Effective January 1, 2009, the Company adopted Emerging Issues Committee Abstract 173, "Credit Risk and the Fair Value of Financial Assets and Financial Liabilities" ("EIC 173"). EIC 173 requires the Company to consider its own credit risk and the credit risk of the counterparty in determining the fair value of financial assets and financial liabilities, including derivative instruments.*

(ii) *The change in accumulated foreign currency translation adjustment is net of tax of $nil for the nine months ended September 30, 2010 (2009: $nil). The change for the quarter of $7.1 million is net of tax of $nil (2009: change of $24.9 million, net of tax of $nil).*

(iii) *The change in unrealized loss on cash flow hedges is net of tax of $0.3 million for the nine months ended September 30, 2010 (2009: $0.5 million). The change for the quarter of $0.3 million is net of tax of $0.2 million (2009: change of $1.4 million, net of tax of $0.6 million).*

The Company estimates that $1.4 million of net unrealized losses included in accumulated other comprehensive loss will be reclassified into net earnings within the next twelve months. During the nine months ended September 30, 2010, a net loss of approximately $1.1 million, net of tax of $0.5 million, was released to income from accumulated other comprehensive loss and is included in the net change for the period.

7. Restructuring and Other Related Costs

During the nine months ended September 30, 2010, the Company recorded restructuring and other related costs of $13.0 million ($9.6 million after tax). Of this amount, $10.5 million ($7.7 million after tax) was recorded in the third quarter. These costs relate primarily to the restructuring of the specialty baked goods production process in the United Kingdom and accelerated depreciation and severances associated with the announced consolidation and closure of three Greater Toronto Area bakeries in the Company's fresh bakery business.

During the first nine months of 2009, the Company recorded restructuring and other related costs of $1.3 million ($1.0 million after tax). These costs related primarily to the closure and decommissioning of a bagel facility in Toronto, Ontario, a small bakery operation in the United Kingdom and the accelerated depreciation of certain assets that

were made redundant with the implementation of the new SAP information system in the Company's frozen bakery operations.

The following table provides a summary of costs recognized and cash payments made in respect of the above-mentioned restructuring and other related costs and the corresponding liability as at September 30, 2010, all on a pre-tax basis:

	Severance	Site Closing and Other	Asset Impairment and Accelerated Depreciation	Retention	Pension	Total
Balance at December 31, 2009	**$ 2,272**	**$ 1,647**	**$ —**	**$ —**	**$ —**	**$ 3,919**
Charges	682	—	224	—	798	1,704
Cash payments	(364)	(268)	—	—	—	(632)
Non-cash items	—	—	(224)	—	(798)	(1,022)
Balance at March 31, 2010	**$ 2,590**	**$ 1,379**	**$ —**	**$ —**	**$ —**	**$ 3,969**
Charges	107	366	332	—	—	805
Cash payments	(888)	(642)	—	—	—	(1,530)
Non-cash items	—	—	(332)	—	—	(332)
Balance at June 30, 2010	**$ 1,809**	**$ 1,103**	**$ —**	**$ —**	**$ —**	**$ 2,912**
Charges	9,767	403	220	122	—	10,512
Cash payments	(514)	(252)	—	—	—	(766)
Non-cash items	—	—	(220)	—	—	(220)
Balance at September 30, 2010	**$ 11,062**	**$ 1,254**	**$ —**	**$ 122**	**$ —**	**$ 12,438**

8. Pensions

During the quarter, the Company recorded $3.0 million related to net benefit plan expense (2009: $3.3 million). For the first nine months of 2010, the Company recorded $9.7 million in net benefit plan expense (2009: $9.8 million).

9. Supplemental Cash Flow Information

	Three months ended September 30,		Nine months ended September 30,	
	2010	2009	**2010**	2009
Net interest paid	**$ 1,079**	$ 781	**$ 3,150**	$ 3,959
Net income taxes paid	**7,751**	9,848	**25,598**	23,215

10. Segmented Financial Information

The Company's operations are classified into the following two primary business segments, which have been used for the operating segment disclosures for all periods presented:

(a) Fresh Bakery includes fresh bakery products, sweet goods, sandwiches and specialty fresh pasta and sauces.

(b) Frozen Bakery includes North American and U.K. frozen bakery products including frozen par-baked and specialty bakery products.

	Three months ended September 30,		Nine months ended September 30,	
(Unaudited)	**2010**	2009	**2010**	2009
Sales				
Fresh Bakery	**$ 285,232**	$ 287,285	**$ 824,951**	$ 840,546
Frozen Bakery	**126,132**	137,270	**370,407**	433,052
	$ 411,364	$ 424,555	**$1,195,358**	$ 1,273,598
Earnings from operations before restructuring and other related costs and other income (expense)				
Fresh Bakery	**$ 30,397**	$ 33,260	**$ 78,603**	$ 71,457
Frozen Bakery	**2,032**	3,655	**4,537**	19,949
	$ 32,429	$ 36,915	**$ 83,140**	$ 91,406
Additions to property and equipment				
Fresh Bakery	**$ 19,819**	$ 4,246	**$ 33,309**	$ 15,677
Frozen Bakery	**5,959**	1,835	**14,579**	14,770
	$ 25,778	$ 6,081	**$ 47,888**	$ 30,447
Depreciation and amortization				
Fresh Bakery	**$ 7,309**	$ 6,757	**$ 20,574**	$ 20,816
Frozen Bakery	**5,780**	6,794	**17,586**	20,890
	$ 13,089	$ 13,551	**$ 38,160**	$ 41,706

	As at September 30,		As at December 31,
	2010	2009	2009
	(Unaudited)	*(Unaudited)*	
Total assets			
Fresh Bakery	**$ 460,994**	$ 447,100	$ 441,020
Frozen Bakery	**449,114**	493,270	476,681
Non-allocated assets	**128,876**	39,809	68,711
	$1,038,984	$ 980,179	$ 986,412
Goodwill			
Fresh Bakery	**$ 157,146**	$ 155,949	$ 155,946
Frozen Bakery	**223,699**	236,507	230,861
	$ 380,845	$ 392,456	$ 386,807

11. Subsequent Events

On October 27, 2010, the Company finalized a $60 million accounts receivable securitization facility for a term of three years, effective immediately. This facility will replace the existing accounts receivable financing facility that was extended to January 2011.

As a result of the new facility, $6.0 million ($4.2 million after tax) of unrealized derivative losses in accumulated other comprehensive loss (Note 6) at September 30, 2010, will be released to income in the fourth quarter of 2010.



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